

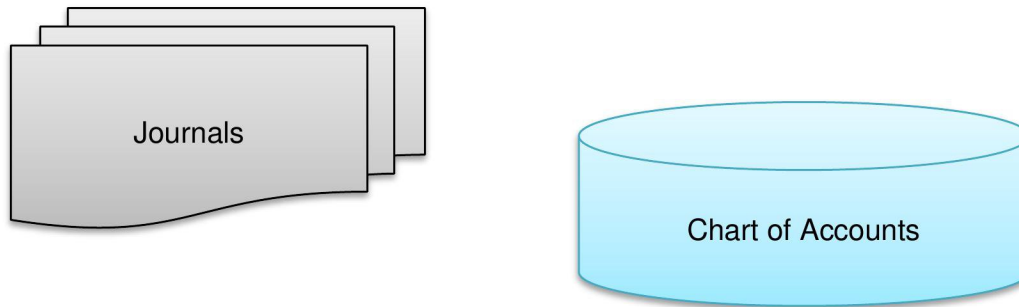


Figure 2: Transaction and master

Now that we have briefly reviewed the two main information sources for the systems, let's take a look at how these two work together to ensure that the key equation (shown below) always stays in balance:

- $\text{Assets} = \text{Liabilities} + \text{Equity}$

Double Entry Accounting

Double Entry Accounting is the most common method of accounting for business transactions. To understand how the method works, we need to introduce two new terms that are somewhat hard to define: **debit** and **credit**.

Each account in the chart has a balance and this balance is considered to be a debit or a credit. For the asset accounts, the debit represents a positive balance in the chart while the credit represents a negative balance. If the business checking account has \$6,000 in it, we would say the account has a \$ 6,000 debit balance. If they write a check which reduces the balance, that check will be credited to the account. Credit entries reduce the balance in an asset account.

The liability and equity accounts work in reverse; credits are considered positive balances and the debit represents a negative balance. If the sales tax liability for one state is \$ 2,000, we would say we have a \$2,000 credit balance in sales tax payable. As they pay the sales tax, that balance will be reduced by debiting the account.

The following chart summarizes debits and credits:

Table 3: Debit/Credit Summary

Description	Debit	Credit
Assets such as cash, inventory, computers, office supplies, etc.	Increase	Decrease
Liabilities such as phone bills, car loan, sales tax collected, etc.	Decrease	Increase
Equity such as owner's contribution, common stock, etc.	Decrease	Increase